To trade a busted pattern, I suggest you stick to bull markets with downward breakouts. The rise after the pattern busts is high enough to consider trading. The numbers are averages, so keep that in mind.

To put it another way, if you see a rectangle bottom in a bull market with a downward breakout, there's a 43% chance price won't drop more than 10% (meaning it'll bust the pattern). So not only will the drop be small, but it could lead to a big advance. That's potentially bad news if you short a stock.

Trading Tactics

Table 51.10 shows trading tactics.